

MAKERERE UNIVERSITY BUSINESS SCHOOL
COURSEWORK TWO TEST FOR THE DEGREE OF BACHELOR OF BUSINESS
COMPUTING OF MAKERERE UNIVERSITY
ACADEMIC YEAR 2024/2025

COURSE NAME: ACCOUNTING INFORMATION SYSTEMS

YEAR OF STUDY: III COURSE CODE: BBC3215 SEMESTER: ONE

DATE: 27/10/2024 TIME: 8:00-09:00 AM CREDIT UNITS: 4

INSTRUCTIONS:

1. Create a folder with your Name and Registration number & use it to save all your work
2. Use QuickBooks Accounting software to do the work.

Esther ltdt (e.g. Nakibuka Betty) is a general product-based Retail shop located in Nakawa, Plot 23, P.O. BOX 11, Kampala. The company has been using a manual accounting system for the past 5years. The company's financial year starts 01 January. The company management has resolved to computerize their operations using Quick Books Accounting software effective 01 January 2024.

Additional Information

- i. The Company transacts in Kenya Shillings and Charges 15% Value Added Tax on all sales Transactions, the tax is collected by URA.
- ii. The company uses petty cash Accounts as a default deposit account and DTB bank for all payments
- iii. The company charges 50% as Markup on every item/service
- iv. The company charges a finance charge of 5% with a minimum charge of 50,000 and a grace period of 5days

Required: Create the above company and set up the above preferences

(5Marks)

Below are the company bank accounts as of 1st January 2024.

(2marks)

Acc. Code	Name	Balance
1	Petty Cash	10,000,000
2	DTB Bank	20,000,000

10. Note1: Inventory Items and Services

(2marks)

Item	Type	Code	UOM	Unit Cost	Selling Price	Qty
Iron bar	Inventory	IV01	Each (EC)	15,000	25,000	100
Paint	Assembly	A01	Each (EC)	5,000	55,000	
Undercoat	Assembly	A02	Each (EC)	3000	4,000	

12. Note2: Trade Creditors

(2marks)

Name	Code	Item/Serv. Supplied	Balance	Credit Terms	Credit Limit
Global Paint	SP01	Paint & Undercoat	2,000,000	Net 60	5,000,000
Hardware World	SP02	Iron Bars	3,000,000	Net 90	10,000,000

13. Note3: Trade Debtors

(1marks)

Name	Code	Balance	Credit Terms	Credit Limit
UMI	CU01	2,000,000	Net 30	2,000,000

The following transactions took place on 5th Jan 2024

- a) Received 1,000,000 from UMI as partial payment for their balance and paid Global Paint all their outstanding balance (2marks)
- b) Purchased land worth 10,000,000 from Sema marking an upfront payment of 5,000,000 cash (2mark)
- c) Purchased 50 iron bars on credit and returned 5 of them that were faulty (2marks)
- d) Sold 30 iron Bars to UMI for cash and assessed finance charge on the overdue invoice (2marks)
- e) UMI returned 2iron bars that were faulty and adjustments were made to write them off since they were unsaleable (3marks)
- f) Tim one of the shareholders withdraw 2,000,000 cash from their contribution (2marks)
- g) Prepaid rent of 300,000 and water of 50,000 cash (2marks)
- h) Extract the Inventory worksheet report, Customers Balance Detailed, and Suppliers Balance Detailed, and export them to Excel (3marks)

SUCCESS